

25STCV26711 25STCV26711

County: los-angeles

Division: Civil Law and Motion

Department: 730

Hearing date: 2026-06-24

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C730%2C06%2F24%2F2026

Source SHA-256: d49fdbaf45b6cbe59823ce875f5f435056da5bf8965a3196354c9438f85906f9

Case Number: 25STCV26711 Hearing Date: June 24, 2026 Dept: 730

Superior Court of California

County of Los Angeles

Department 730

PEOPLE OF THE STATE OF CALIFORNIA, ex rel. STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY,

Plaintiff-Relator,

vs.

KAREN SHAI, et al.,

Defendants.

Case No.:

25STCV26711

Hearing Date:

June 24, 2026

[TENTATIVE] ORDER RE: DEMURRER TO THE COMPLAINT

I. BACKGROUND

On September 11, 2025, Plaintiff People of the State of California, ex rel. State Farm Mutual Automobile Insurance Company ("Plaintiff") filed a Complaint for Violation of the Insurance Frauds Prevention Act under California Insurance Code Section 1871.7 ("the Act") against Defendants Karen Shai, Adil Navid (a/k/a Andy Navid), Eminence Medical Management Solutions, Inc., Superior Med Surgical, Inc., Yashar Ghomri, D.O., Ghomri Health Care Inc., Ramin Shamtob, M.D., R. Shamtob, MD, Inc., Kenneth Light, M.D., Kenneth I. Light, M.D., Inc., a Professional Corporation, Kamran Aflatoon, D.O., Dr. Kamran Aflatoon, Inc., Jonathan Frank, M.D., Jonathan Frank MD, Inc, Evish Kamrava, M.D., Evish Kamrava MD PC, John S. Cho, M.D., John S. Cho, M.D., Inc., Babak Khamsi, M.D., Babak Khamsi MD Inc., Edward Balbas, M.D., Edward A. Balbas, P.C., E Albert Guarin Balbas MD PC, Troy Mounts, M.D., Troy I. Mounts, M.D., Inc., Beverly Hills Surgical Institute Inc., Surgical Solutions of Northern California, LLC, Empire Surgical Institute LLC, Spine Surgical Implants, Inc., a Professional Corporation, and DOES 1 through 35 (collectively, "Defendants").

On February 25, 2026, Defendants Kamran Aflatoon, D.O., and Dr. Kamran Aflatoon, Inc. (hereinafter, "Aflatoon Defendants") filed an Answer to the Complaint.

On February 26, 2026, Defendants Adil Navid (a/k/a Andy Navid), Superior Med Surgical, Inc., Beverly Hills Surgical Institute Inc., Surgical Solutions of Northern California, LLC, Empire Surgical Institute LLC, and Spine Surgical Implants, Inc., a Professional Corporation (hereinafter, "Navid Defendants") filed an Answer to the Complaint.

On May 7, 2026, Defendants Babak Khamsi, M.D., and Babak Khamsi MD Inc. (hereinafter, "Babak Defendants") filed an Answer to the Complaint.

On May 8, 2026, Defendants Ramin Shamtob, M.D., and R. Shamtob, MD, Inc. (hereinafter, "Shamtob Defendants") filed an Answer to the Complaint.

Defendants Yashar Ghomri, D.O., and Ghomri Health Care Inc. (hereinafter, "Ghomri Defendants") now demur to the Complaint on the grounds that (1) Complaint fails to state sufficient facts to constitute a cause of action for violation of the Act and (2) the action is barred by the three-year statute of limitations. Plaintiff opposes.

II. LEGAL STANDARD

"The primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)

"A demurrer tests the legal sufficiency of the factual allegations in a complaint." (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether "the complaint alleges facts sufficient to state a cause of action or discloses a complete defense." (Id.) The Court does not "read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint 'as a whole and its parts in their context.' [Citation.]" (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court "assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken." (Harris, supra, 56 Cal.4th p. 240.) "The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]" (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) “[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

III. DISCUSSION

a. Meet and Confer

Prior to filing a demurrer, the demurring party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41.) “Any determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer.” (Code Civ. Proc., § 430.41, subd. (a)(4).)

Ghomri Defendants’ counsel of record, David Scott Kadin, Esq., states that he met and conferred with Plaintiff’s counsel by telephone. (Decl. of Demurring Party re Meet and Confer, ¶12a.) The parties were unable to reach an agreement resolving the matters raised by the demurrer. (Id.) As such, the Court finds that the parties properly met and conferred prior to the filing of the present demurrer.

b. Statute of Limitations

Under the Act, “[i]t is unlawful to knowingly employ runners, cappers, steerers, or other persons to procure clients or patients to perform or obtain services or benefits pursuant to Division 4 (commencing with Section 3200) of the Labor Code or to procure clients or patients to perform or obtain services or benefits under a contract of insurance or that will be the basis for a claim against an insured individual or their insurer.” (Ins. Code, § 1871.7, subd. (a).) “Any interested persons, including an insurer, may bring a civil action for a violation of this section for the person and for the State of California. The action shall be brought in the name of the state. The action may be dismissed only if the court and the district attorney or the commissioner, whichever is participating, give written consent to the dismissal.” (Ins. Code, § 1871.7, subd. (e)(1).) “An action pursuant to this section may not be filed more than three years after the discovery of the facts constituting the grounds for commencing the action.” (Ins. Code, § 1871.7, subd. (l)(1).) Although no published California case has yet addressed whether the three-year statute of limitations period under the Act requires actual or inquiry notice, the three-year statute of limitations provision “was added as part of the 1999 amendments to the statute, long after our Supreme Court’s decisions establishing the inquiry notice standard as the general rule for determining when tort claims, including those for fraud, accrue.” (State of California ex rel. Metz v. CCC Information Services, Inc. (2007) 149 Cal.App.4th 402, 417.) Thus, the three-year statute of limitations period begins to run when the plaintiff suspects or should suspect that their injury was caused by fraudulent wrongdoing on part of the defendant.

“[T]he California courts have consistently held that a demurrer which raises the defense that a statute of limitation bars the action cannot be sustained unless the facts alleged in the complaint show that the action is barred. If all that appears from the facts alleged is that the action might be barred, the defense cannot be raised by demurrer.” (Anderson v. McNally (1957) 150 Cal.App.2d 778, 783; see also Pike v. Zadig (1915) 171 Cal. 273, 277, disapproved of on other grounds by Decesare v. Lember (1983) 144 Cal.App.3d 20, stating “[a demurrer on the ground of the bar of the statute of limitations does not lie, where the complaint merely shows that the action may have been barred. It must appear affirmatively that, upon the facts stated, the right of action is necessarily barred.”].)

The Complaint alleges, inter alia, that from at least 2017 through the present, Ghomri Defendants, through Defendants Karen Shai, Adil Navid (a/k/a Andy Navid), Eminence Medical Management Solutions, Inc., Superior Med Surgical, Inc., and DOES 1 through 5 (collectively, "Eminence Defendants"), operated an unlawful and undisclosed capping, referral, kickback, and/or fee-splitting scheme. (Compl., ¶¶2, 5(a), 9, Exs. 1-3.) In violation of California Penal Code Section 550, subdivision (a)(1), Eminence Defendants, along with Eminence Physicians[1], ASC Defendants, and Surgical Implant Defendants, aided, abetted, and conspired with each other to, and did knowingly present, or cause to be presented claims to State Farm Mutual Automobile Insurance Company ("SFMAIC") and other insurers, which were false and fraudulent for medical services, procedures, facility fees, supply fees, and surgical hardware and that were the result of undisclosed and unlawful capping, referral, kickback, and/or fee-splitting arrangements. (Id., ¶5(b).) In violation of California Penal Code Section 550, subdivision (a)(5), Eminence Defendants, along with Eminence Physicians, ASC Defendants, and Surgical Implant Defendants, aided, abetted, and conspired with each other to, and did knowingly prepare claims, bills, invoices, ledgers, and reports for medical services and procedures, presented to SFMAIC and other insurers, which were false and fraudulent and that were the result of undisclosed and unlawful capping, referral, kickback, and/or fee-splitting arrangements. (Id., ¶5(c).) In violation of California Penal Code Section 550, subdivision (b)(3), Eminence Defendants, along with Eminence Physicians, ASC Defendants, and Surgical Implant Defendants, aided, abetted, and conspired with each other to, and did conceal or knowingly fail to disclose the occurrences of their unlawful capping, referral, kickback, and/or fee-splitting arrangements, which would have affected a person's initial or continued right or entitled to an insurance benefit or payment, or the amount of any benefit or payment to which the person was entitled. (Id., ¶5(d).) SFMAIC did not discover facts giving rise to these claims until within three years of filing this action, at the earliest, in or around July 2023, when SFMAIC had obtained testimony from Defendants; had an adequate opportunity to review bills, invoices, statements, reports, and supporting documentation; and was able to review evidence regarding the relationships with Eminence Defendants, Eminence Physicians, ASC Defendants, and Surgical Implant Defendants. (Id., ¶47.)

Taking these allegations as true, the Complaint alleges that Plaintiff was not aware or suspect any violation of the Act and Penal Code Section 550 until around July 2023, which is about two years prior to the filing of the present action. As such, the Complaint was timely filed within the statute of limitations period set for in the Act.

c. Sufficiency of Allegations

"Prohibited conduct in support of or in opposition to an insurance claim is actionable. Some kinds of actionable conduct are described in section 1871.7 itself (§ 1871.7, subd. (a)), while other kinds are identified by incorporation of separate statutes (id., subd. (b))." (People ex rel. Ellinger v. Magill (2022) 77 Cal.App.5th 287, 292.) "One such statute is Penal Code section 550, which criminalizes a broad range of deceptive acts in connection with making, supporting, or opposing claims for payment, including but not limited to insurance claims. (Pen. Code, § 550, subds. (a), (b).) Thus, some but not all violations of Penal Code section 550 can serve as the basis for a section 1871.7 action, because section 1871.7 concerns only claims presented to insurance companies and Penal Code section 550 is not so limited." (Id.) However, the Act "does not target the conduct of insurance companies themselves." (Id.) "Penal Code section 550 may be violated not only by the knowing submission of claims that are 'false or fraudulent' (Pen.Code, § 550, subd. (a)), but also by the knowing concealment or failure to disclose material information, and by knowingly making 'false or misleading' statements in connection with insurance claims." (State ex rel. Wilson v. Superior Court (2014) 227 Cal.App.4th 579, 600.)

"The essential elements of fraud, generally, are (1) a misrepresentation; (2) knowledge of falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage." (City of Industry v. City of Fillmore (2011) 198 Cal.App.4th 191, 211.) "Each element must be pleaded with particularity so as to apprise the defendant of the specific grounds for the charge and enable the court to determine whether there is any basis for the cause of action, although less specificity is required if the defendant would likely have greater knowledge of the facts than the plaintiff." (Id.) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

The Complaint alleges, inter alia, that in an October 10, 2023 deposition, Dr. Ghomri estimated that Eminence referred him over a thousand patients in a two-year period that he worked with Eminence. (Compl., ¶73.) From at least 2017 through the present, Ghomri Defendants knowingly prepared and presented, or caused or allowed to be presented, to SFMAIC and other insurers false and fraudulent claims and writings for medical services and procedures, including those summarized in Exhibit 1. (Id., ¶¶2, 9, 77, 98, Exs. 1-3.) Ghomri Defendants also knowingly and intentionally took steps to conceal and misrepresent the nature of these improper arrangements and relationships to avoid detection. (Id., ¶¶85-86, 96-97.) Those fraudulent charges presented to SFMAIC and/or its affiliates offering insurance in the State of California identified in Exhibits 1 through

3 totaled more than \$9.5 million. (Id., ¶98.)

Taking these allegations as true, the Complaint sufficiently alleges fraud for purposes of showing violations of the Act and Penal Code Section 550. Specifically, the Complaint sufficiently alleges that Ghomri Defendants alongside the other Eminence Physicians (the who), from at least 2017 to present (the when), knowingly and intentionally prepared and presented to SFMAIC and other insurers fraudulent claims; and knowingly concealed or failed to disclose the unlawful fee-splitting operation (the what). The Complaint further alleges that the concealment was done through keeping Eminence Defendants' names out of the Eminence Physicians reports and claims to avoid detection and make their conduct appear lawful (the how). As a result, Plaintiff suffered a total of \$9.5 million in damages.

IV. CONCLUSION

Based on the foregoing, Defendants Yashar Ghomri, D.O., and Ghomri Health Care Inc.'s Demurrer to the Complaint is OVERRULED.

Defendants Yashar Ghomri, D.O., and Ghomri Health Care Inc. are ordered to give notice.

DATED: June 24, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] As alleged in the Complaint, "Eminence Physicians" refers to Defendant Yashar Ghomri, D.O. and all the other named doctor defendants and DOES 6-15. (Compl., ¶2, fn. 2.)

Superior Court of California

County of Los Angeles

Department 730

PEOPLE OF THE STATE OF CALIFORNIA, ex rel. STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY,

Plaintiff,

vs.

KAREN SHAI, et al.,

Defendants

Case No.:

25STCV26711

Hearing Date:

June 24, 2026

[TENTATIVE] ORDER DENYING SPECIAL MOTION TO STRIKE COMPLAINT PURSUANT TO CODE OF CIVIL PROCEDURE § 425.16

I. BACKGROUND

Defendants operated an unlawful and undisclosed capping, referral, kickback and/or fee-splitting scheme by soliciting patients to Defendant Doctors, who then would provide an unlawful split to Referring Defendants. Plaintiff-Relator State Farm Mutual Automobile Insurance Company ("State Farm") sues Defendants on behalf of the People of the State of California for violation of the insurance frauds prevention act.

On March 30, 2026, Defendants Yashay Ghomri, D.O. and Ghomri Health Care, Inc. (collectively "Ghomri") filed the instant special motion to strike (or "anti-SLAPP motion") under Code of Civil Procedure section 425.16.[1] State Farm opposed. Ghomri replied.

The Court held an initial hearing on this motion on June 5, 2026. At the hearing, the Court asked several questions and counsel for the moving parties and State Farm responded. State Farm clarified that it was not attacking the use of liens on potential money judgments to pay for medical treatment. Instead, State Farm alleges that Defendant Doctors employed Referring Defendants as runners or cappers in violation of Insurance Code section 1871.7. Counsel for the moving parties Ghomri and Light clarified that Ghomri and Light treated their patients the same, regardless of whether they were referred by the Referring Defendants or otherwise. Ghomri and Light used the same process and generated the same type of reports for all patients. The Court continued the matter to today's hearing date.

II. OBJECTIONS

The Court rules on State Farm's objections as follows:

The Court sustains State Farm's fifth and seventh objections.

The Court overrules State Farm's other objections.

The Court rules on Ghomri's objections as follows:

The Court sustains Ghomri's fifth objection.

The Court overrules Ghomri's other objections.

III. LEGAL STANDARD

"Litigation of an anti-SLAPP motion involves a two-step process. First, 'the moving defendant bears the burden of establishing that the challenged allegations or claims 'aris[e] from' protected activity in which the defendant has engaged.' [Citation.] Second, for each claim that does arise from protected activity, the plaintiff must show the claim has "at least 'minimal merit.' [Citation.]" (Bonni v. St. Joseph Health System (2021) 11 Cal.5th 995, 1009, citations omitted.) To separate communications which form the source of the dispute from those that merely provide evidence of it, courts ask whether "the same dispute would exist" if there were no pending threat of litigation. (Gotterba v. Travolta (2014) 228 Cal.App.4th 35, 42.)

As to the second step of the inquiry, a plaintiff seeking to demonstrate the merit of the claim "may not rely solely on its complaint, even if verified; instead, its proof must be made upon competent admissible evidence." (Sweetwater Union High School District v. Gilbane Building Co. (2019) 6 Cal.5th 931, 940, citations omitted.)

A party opposing a special motion to strike has the burden to "state [] and substantiate [] a legally sufficient claim." (Navellier v. Sletten (2002) 29 Cal.4th 82, 88 & 93.) "Put another way, the party "must demonstrate that the complaint is both legally sufficient and supported by a sufficient prima facie showing of facts to sustain a favorable judgment if the evidence submitted by the defendant is credited." [Citations.]" (Id. at pp. 88-89.) To that end, the party must present competent evidence, "that would be admissible at trial." (HMS Capital, Inc. v. Lawyers Title Co. (2004) 118 Cal.App.4th 204, 212.) "[D]eclarations may not be based upon 'information and belief' [citation]" and documents submitted without the proper foundation will not be considered. (Id.) The complaint, even if verified, is insufficient to carry the plaintiff's shifted burden. (Roberts v. Los Angeles County Bar Association (2003) 105 Cal.App.4th 604, 614; Karnazes v. Ares (2016) 244 Cal.App.4th 344, 354 ["pleadings do not constitute evidence"]; see also Burke, Anti-SLAPP Litigation (The Rutter Group, Civil Litigation Series 2018 §5:13) ["To satisfy prong two, the plaintiff must submit admissible evidence that if credited is sufficient to sustain a favorable judgment against the legal theories asserted by the defendant."].)

"A cause of action is subject to a special motion to strike if the defendant shows that the cause of action arises from an act in furtherance of the defendant's constitutional right of petition or free speech in connection with a public issue and the plaintiff fails to demonstrate a probability of prevailing on the claim. [Citations.]" (Digerati Holdings, LLC v. Young Money Entertainment, LLC (2011) 194 Cal.App.4th 873, 883.)

"An 'act in furtherance of a person's right of petition or free speech under the United States or California Constitution in connection with a public issue' is defined by statute to include '(1) any written or oral statement or writing made before a

legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest.' [Citation.] If the defendant shows that the cause of action arises from a statement described in clause (1) or (2) of section 425.16, subdivision (e), the defendant is not required to separately demonstrate that the statement was made in connection with a 'public issue.' [Citation.]" (Id.)

"A cause of action is one 'arising from' protected activity within the meaning of section 425.16, subdivision (b)(1) only if the defendant's act on which the cause of action is based was an act in furtherance of the defendant's constitutional right of petition or free speech in connection with a public issue. [Citation.] In deciding whether the 'arising from' requirement is satisfied, 'the court shall consider the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based.' [(Code Civ. Proc. § 425.16(b)(2).)] Whether the 'arising from' requirement is satisfied depends on the 'gravamen or principal thrust' of the claim. [(Episcopal Church Cases (2009) 45 Cal.4th 467, 477, quoting *Martinez v. Metabolife International, Inc.* (2003) 113 Cal.App.4th 181, 193.)] A cause of action does not arise from protected activity for purposes of the anti-SLAPP statute if the protected activity is merely incidental to the cause of action. [(*Martinez*, 113 Cal.App.4th at pg. 188.)]" (*Digerati Holdings, LLC*, 194 Cal.App.4th at pgs. 883-884.) To show that a claim arises from protected activity under §425.16(b)(1), it is not sufficient to show that the claim "was filed after, or because of, protected activity, or when protected activity merely provides evidentiary support or context for the claim." (*Rand Resources, LLC v. City of Carson* (2019) 6 Cal.5th 610, 621.) "Rather, the protected activity must 'supply elements of the challenged claim.' [Citation.]" (Id., citations omitted.)

"At the first step, the moving defendant bears the burden of identifying all allegations of protected activity, and the claims for relief supported by them. When relief is sought based on allegations of both protected and unprotected activity, the unprotected activity is disregarded at this stage." (*Baral v. Schnitt* (2016) 1 Cal.5th 376, 396, emphasis added.)

IV. DISCUSSION

Ghomri requests the Court strike the complaint as the cause of action asserted against Ghomri arises from Ghomri's protected exercise of free speech or petition rights. Pursuant to section 425.16, subdivision (b), a cause of action against a person arising from the person's right of petition or free speech shall be subject to a special motion to strike unless the court determines the plaintiff has established there is a probability the plaintiff will prevail on the claim.

A. Anti-SLAPP Analysis

1. Protected Activity

Ghomri asserts Ghomri's activity is protected, satisfying the first prong of an anti-SLAPP motion, as it consists of Ghomri's medical report and invoices being communicated by legal counsel to State Farm as part of personal injury lawsuits brought by Ghomri's patients against State Farm's insured clients, or as part of settlement demands made in anticipation of litigation. (Mot., Ghomri Decl. ¶¶ 3-7.) The Anti-SLAPP statute defines relevant protected activity as follows:

"(1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest." (Code Civ. Proc. § 425.16, subd. (e).)

Courts have “have adopted a fairly expansive view of what constitutes litigation-related activities within the scope of section 425.16.” (Kashian v. Harriman (2002) 98 Cal.App.4th 892, 908.) “Correspondence made in anticipation of litigation “contemplated in good faith and under serious consideration can be a petitioning activity protected by the anti-SLAPP statute.” (Lunada Biomedical v. Nunez (2014) 230 Cal.App.4th 459, 472.) The burden is on the moving party to make this initial showing. (Navellier v. Sletten (2002) 29 Cal.4th 82, 88.)

People ex. rel. Allstate Ins. Co. v. Rubin (2021) 66 Cal.App.5th 493 (Rubin) is instructive here. In Rubin, an insurance company brought suit against a physician and related medical providers, alleging the physician prepare fraudulent patient medical reports and billing statement in support of insurance claims. (Ibid.) The physician brought an anti-SLAPP motion on the basis the lawsuit arose from the protected activity of preparing and submitted medical records in anticipation of litigation. (Id. at p. 496.) The trial court denied the motion, which the appellate court affirmed, as prelitigation communication may only constitute protected activity if it is related to litigation contemplated in good faith and under serious consideration. (Id. at pp. 496, 499.) If litigation is only a possibility, it is not under serious consideration. (Id. at p. 499.) “Thus, for example, when a cause of action arises from conduct that is a ‘necessary prerequisite’ to litigation, but will lead to litigation only if negotiations fail or contractual commitments are not honored, future litigation is merely theoretical rather than anticipated and the conduct is therefore not protected prelitigation activity.” (Ibid., citing Bel Air Internet, LLC v. Morales (2018) 20 Cal.App.5th 924, 941.)

“The submission of claims to an insurer for payment in the regular course of business prior to the commencement of litigation is not an act ‘in furtherance of [the] right[] of petition’ within the meaning of the anti-SLAPP statute.” (Rubin, supra, at p. 499.) Protecting reports and claims under section 425.16 because they eventually could be used in connection with an official proceeding would effectively provide immunity for any type of criminal fraud, so long as the defrauding party is willing to go to court. (Ibid., citing People ex rel. 20th Century Ins. Co. v. Building Permit Consultants, Inc. (2000) 86 Cal.App.4th 280, 285.) Furthermore, the filing of allegedly false insurance claims is also not protected under the anti-SLAPP statute. (Rubin, supra, at p. 499, citing People ex rel. Fire Ins. Exchange v. Anapol (2012) 211 Cal.App.4th 809 (Anapol).)

The court specifically held that, because the documents were prepared to be utilized, and render payment to the physician, for any settlement, judgment, or verdict, there remains a possibility of resolving claims outside of court. (Rubin, supra, at pp. 500-501.) Therefore, the documents were not made “in anticipation of litigation contemplated in good faith and under serious consideration.” (Id. at p. 502.) The activity was not protected under section 425.16.

Here, Ghomri has specifically stated Ghomri’s medical reports and invoices were communicated by legal counsel “as part of settlement demands in anticipation of litigation that is contemplated in good faith.” (Ghomri Decl. ¶ 3.) However, Ghomri’s declaration does not indicate his medical reports and invoices are any different or otherwise specially prepared if they were going to be used to bring personal injury claims against State Farm’s insured. Counsel for Ghomri candidly agreed Ghomri treated all of his patients the same way. Ghomri’s reports and invoices were prepared by the same process, regardless of whether the patient was allegedly referred by the Referring Defendants or not. Just as in Rubin, the preparation of medical reports and bills in support of insurance claims are Ghomri’s routine and usual course of business. (See Anapol, supra, 211 Cal.App.4th at p. 827 [“ ‘[t]he submission of contractual claims for payment in the regular course of business’ is not an act in furtherance of the right of petition”].) In addition, Ghomri’s medical reports may or may not end up being used in litigation. Unless negotiations with State Farm failed or State Farm denied a demand for payment, litigation is simply a possibility. (Rubin, supra, at p. 502 [“That is, unless negotiations with Allstate failed, or Allstate denied a demand for payment, litigation was simply a possibility, and that ‘possibility’ of litigation does not rise to protected prelitigation activity under the anti-SLAPP statute.”]; see Mission Beverage Co. v. Pabst Brewing Co., LLC, supra, 15 Cal.App.5th at pp. 702, 703 [litigation is not “ ‘under [serious] consideration’ ” if it is only a “ ‘possibility’ ”].)

Ghomri also argues that there is distinction between first party insurance claims, where the insureds is making insurance claims themselves, and third party insurance claims, where third parties were allegedly injured by the insureds and the third parties are seeking compensation. Again, Rubin has already addressed the issue:

Rubin argues this case “is patently distinguishable from Anapol, because [his] medical reports and bills were not submitted to demand performance under a contract of insurance between the patients and Allstate. Rather the complained of medical reports and bills were prepared for, and used in, personal injury claims and lawsuits against third party tortfeasors who happened [to] be insured by Allstate.”

We disagree. Again, the Anapol court held that the submission of an insurance claim is ordinarily not a protected activity under the anti-SLAPP statute, unless the defendant first establishes that litigation with the insurance company is under serious consideration and is more than theoretical. (Anapol, supra, 211 Cal.App.4th 809.)

Here, it does not matter if Rubin's lien patients were submitting insurance claims with Allstate based on their own coverage policies (first party claims), or if they were submitting insurance claims based on the liability policies of alleged tortfeasors (third party claims). In either case, Rubin failed to establish—as a matter of law—that the subject medical reports and bills were prepared outside of Rubin's usual course of business, and that his lien patients' litigation with Allstate was more than a “‘possibility.’” (Rubin, supra, at p. 502.)

Ghomri has not satisfied the initial burden of demonstrating Ghomri's activity is protected under section 425.16. Therefore, the Court denies the instant motion.

2. Public Interest Exception

In State Farm's opposition, State Farm argues the anti-SLAPP statute does apply to the subject action, as this action was brought “solely in the public interest or on behalf of the general public,” as this is a qui tam Insurance Fraud Prevention Act (“IFPA”) suit brought on behalf of the State of California. (§ 425.17, subd. (b).) The public interest exception applies to actions brought on behalf of the general public so long as (1) the plaintiff does not seek relief greater than or different from the relief sought for the general public or a class of which the plaintiff is a member; (2) the action, if successful, would enforce an important right affecting the public interest, and would confer a significant benefit to the general public or large class of persons; and (3) private enforcement is necessary and places a disproportionate financial burden on the plaintiff in relation to the plaintiff's stake in the matter. (Ibid.)

State Farm argues qui tam IFPA actions satisfy these requirements. “Qui tam action[s] brought by [a] relator ‘on behalf of the general public’ under Insurance Code Section 1871.7 falls within the public interest exception of section 425.17(b).” (People ex rel. Strathmann v. Acacia Research Corp. (2012) 210 Cal. App. 4th 487, 492.) State Farm asserts this claim is limited to only relief available under Insurance Code section 1871.7, (i.e. “the bounty available under Insurance Code section 1871.7, subdivision (g)(2)(A).”) complying with the relief requirements. (See Strathmann, supra, 210 Cal.4th at pg. 503.) This action, if successful, would enforce an important right in protecting the public from higher premiums stemming from fraudulent insurance claims. (Id. at 504.) Finally, private enforcement of this action is necessary because there is no evidence of a public official intending to prosecute the action, as no such official has intervened to prosecute. (Ibid.) The fact no public entity has sought to enforce these rights is sufficient to establish private enforcement is necessary. (The Inland Oversight Comm. v. Cty. San Bernardino (2015) 239 Cal. App. 4th 671, 676.)

The Court acknowledges State Farm's argument but does not rule on the issue presented as the Court has otherwise already found grounds to deny the instant motion.

B. Fees and Costs

State Farm requests the Court award costs and reasonable attorney's fees, as the motion to strike is frivolous. Under section 425.16, subdivision (c)(1), a prevailing plaintiff is entitled to costs and reasonable attorney's fees if the court finds an anti-SLAPP motion is frivolous or solely intended to cause unnecessary delay.

“A motion is totally and completely without merit for purposes of a finding of frivolousness under section 425.16, subdivision (c)(1) or section 128.5 only if any reasonable attorney would agree that the motion is totally devoid of merit. [Citation.] This is an objective standard. Whether the sole purpose of the motion is to harass an opposing party or the motion is solely intended to cause unnecessary delay, in contrast, concerns the subjective motivation of the moving defendant. [Citation.] The moving defendant's subjective motivation can be inferred from the absence of any arguable merit. [Citation.]” (Chitsazzadeh v. Kramer & Kaslow (2011) 199 Cal.App.4th 676, 683–84.)

State Farm argues the motion was completely without merit, as Ghomri inexplicably failed to address Rubin when filing this motion. Instead Ghomri relied upon vague definitions without direct applicability and omitted context and distinctions. Ghomri did mention Rubin in reply but without meaningfully distinguishing it. Rubin is on point. In addition, Rubin addressed attorney's fees and concluded Rubin's similar arguments were meritless but not frivolous. Here, however, we have the benefit of Rubin. A reasonable attorney would have been aware of Rubin and other unambiguous case law holding allegedly fraudulent physician documentation, prepared in anticipation of potential settlement, is not protected activity under section 425.16. (*Baharian-Mehr v. Smith* (2010) 189 Cal. App. 4th 265, 275.) Therefore, the Court finds the motion frivolous under section 425.16, subdivision (c)(1) and so grants attorney's fees and costs.

State Farm requests fees in \$2,600.00, based upon 5 hours of attorney's work at a rate of \$520.00 per hour. (Opp., Fawaz Decl. ¶ 2.) The Court relies on its knowledge and experience in determining the reasonable value of the legal services provided under the circumstances in this case. (In re Marriage of Huntington (1992) 10 Cal.App.4th 1513, 1524 ["When the trial court is informed of the extent and nature of the legal services rendered, it may rely on its own experience and knowledge in determining their reasonable value."].) The Court has discretion to fix the amount of reasonable monetary sanctions. (*Cornerstone Realty Advisors, LLC v. Summit Healthcare Reit, Inc.* (2020) 56 Cal.App.5th 771, 791.) The Court finds a reasonable award is \$2250.00, based upon 5 hours of attorney's work at a reasonable rate of \$450.00 per hour.

V. CONCLUSION

Ghomri's special motion to strike is therefore DENIED.

State Farm's request for attorney's fees and costs is GRANTED. The Ghomri Defendants are ordered to pay State Farm's attorney's fees in the amount of \$2250.00 within 30 days.

State Farm is ordered to give notice.

DATED: June 24, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated statutory references are to the Code of Civil Procedure.

Superior Court of

California

County of Los Angeles

Department

730

PEOPLE

OF THE STATE OF CALIFORNIA, ex rel. STATE FARM MUTUAL AUTOMOBILE INSURANCE

COMPANY,

Plaintiff,

vs.

KAREN

SHAI, et al.,

Defendants

Case No.:

25STCV26711

Hearing

Date:

June 24, 2026

[TENTATIVE]

ORDER DENYING SPECIAL MOTION TO STRIKE

COMPLAINT PURSUANT TO CODE OF CIVIL PROCEDURE § 425.16

I. BACKGROUND

Defendants allegedly operated

an unlawful and undisclosed capping, referral, kickback and/or fee-splitting

scheme by soliciting patients to Defendant Doctors, who then would provide an

unlawful split to Referring Defendants. Plaintiff-Relator State Farm Mutual

Automobile Insurance Company ("State Farm") sues Defendants on behalf of the

People of the State of California for violation of the insurance frauds

prevention act.

On March 24, 2026,

Defendants Kenneth Light, M.D., and Kenneth I. Light, M.D., Inc. (collectively "Light")

filed the instant special motion to strike (or "anti-SLAPP motion") under Code

of Civil Procedure section 425.16.[1]

State Farm opposed. Light replied.

The Court held an

initial hearing on this motion on June 5, 2026. At the hearing,

the Court asked several questions and counsel for the moving parties and State

Farm responded. State Farm clarified that it was not attacking the use of liens on potential money judgments to pay for medical treatment. Instead, State Farm alleges that Defendant Doctors employed Referring Defendants as runners or cappers in violation of Insurance Code section 1871.7. Counsel for the moving parties Ghomri and Light clarified that Ghomri and Light treated their patients the same, regardless of whether they were referred by the Referring Defendants or otherwise. Ghomri and Light used the same process and generated the same type of reports for all patients. The Court continued the matter to today's hearing date.

II. OBJECTIONS

The Court rules on State

Farm's objections as follows:

The

Court sustains State Farm's fifth and seventh objections.

The

Court overrules State Farm's other objections.

The Court rules on Light's

objections as follows:

The Court sustains Light's second

and third objections.

The Court overrules Light's

other objections.

III. LEGAL STANDARD

"Litigation

of an anti-SLAPP motion involves a two-step process. First, 'the moving

defendant bears the burden of establishing that the challenged allegations or

claims 'aris[e] from' protected activity in which the defendant has engaged.'

[Citation.] Second, for each claim that does arise from protected activity, the

plaintiff must show the claim has "at least 'minimal merit.' [Citation.]" (Bonni v. St. Joseph Health System

(2021) 11 Cal.5th 995, 1009, citations omitted.) To separate communications which form the

source of the dispute from those that merely provide evidence of it, courts ask

whether "the same dispute would exist" if there were no pending threat of

litigation. (Gotterba v. Travolta

(2014) 228 Cal.App.4th 35, 42.)

As

to the second step of the inquiry, a plaintiff seeking to demonstrate the merit

of the claim "may not rely solely on its complaint, even if verified; instead,

its proof must be made upon competent admissible evidence." (Sweetwater

Union High School District v. Gilbane Building Co. (2019) 6 Cal.5th 931,

940, citations omitted.)

A

party opposing a special motion to strike has the burden to “state [] and

substantiate [] a legally sufficient claim.”

(Navellier v. Sletten (2002) 29 Cal.4th 82, 88 & 93.) “Put another way, the party “must

demonstrate that the complaint is both legally sufficient and supported by a

sufficient prima facie showing of facts to sustain a favorable judgment if the

evidence submitted by the defendant is credited.” [Citations.]” (Id. at pgs. 88-89.) To that end, the party must present competent

evidence, “that would be admissible at trial.”

(HMS Capital, Inc. v. Lawyers Title Co. (2004) 118 Cal.App.4th

204, 212.) “[D]eclarations may not be

based upon ‘information and belief’ [citation]” and documents submitted without

the proper foundation will not be considered.

(Id.) The complaint, even

if verified, is insufficient to carry the plaintiff’s shifted burden. (Roberts v. Los Angeles County Bar

Association (2003) 105 Cal.App.4th 604, 614; Karnazes v. Ares (2016)

244 Cal.App.4th 344, 354 [“pleadings do not constitute evidence”]; see also

Burke, Anti-SLAPP Litigation (The Rutter Group, Civil Litigation Series 2018

§5:13) [“To satisfy prong two, the plaintiff must submit admissible evidence

that if credited is sufficient to sustain a favorable judgment against the legal

theories asserted by the defendant.”].)

“A

cause of action is subject to a special motion to strike if the defendant shows

that the cause of action arises from an act in furtherance of the defendant's

constitutional right of petition or free speech in connection with a public

issue and the plaintiff fails to demonstrate a probability of prevailing on the

claim. [Citations.]” (Digerati

Holdings, LLC v. Young Money Entertainment, LLC (2011) 194 Cal.App.4th 873,

883.)

“An

‘act in furtherance of a person's right of petition or free speech under the

United States or California Constitution in connection with a public issue’ is

defined by statute to include ‘(1) any written or oral statement or writing

made before a legislative, executive, or judicial proceeding, or any other

official proceeding authorized by law, (2) any written or oral statement or

writing made in connection with an issue under consideration or review by a

legislative, executive, or judicial body, or any other official proceeding

authorized by law, (3) any written or oral statement or writing made in a place

open to the public or a public forum in connection with an issue of public

interest, or (4) any other conduct in furtherance of the exercise of the constitutional

right of petition or the constitutional right of free speech in connection with
a public issue or an issue of public interest.'

[Citation.] If the defendant shows that the cause of action arises from a
statement described in clause (1) or (2) of section 425.16, subdivision (e),
the defendant is not required to separately demonstrate that the statement was
made in connection with a 'public issue.' [Citation.]" (Id.)

"A cause of action is one 'arising from' protected activity
within the meaning of section 425.16, subdivision (b)(1) only if the
defendant's act on which the cause of action is based was an act in furtherance
of the defendant's constitutional right of petition or free speech in
connection with a public issue. [Citation.] In deciding whether the 'arising
from' requirement is satisfied, 'the court shall consider the pleadings, and
supporting and opposing affidavits stating the facts upon which the liability or
defense is based.' [(Code Civ. Proc.. § 425.16(b)(2).)] Whether the 'arising
from' requirement is satisfied depends on the 'gravamen or principal thrust' of
the claim. [(Episcopal Church Cases (2009) 45 Cal.4th 467, 477, quoting Martinez
v. Metabolife International, Inc. (2003) 113 Cal.App.4th 181, 193.)] A
cause of action does not arise from protected activity for purposes of the
anti-SLAPP statute if the protected activity is merely incidental to the cause
of action. [(Martinez, 113 Cal.App.4th at pg. 188.)]" (Digerati Holdings, LLC, 194

Cal.App.4th at pgs. 883-884.) To show

that a claim arises from protected activity under §425.16(b)(1), it is not

sufficient to show that the claim “was filed after, or because of, protected

activity, or when protected activity merely provides evidentiary support or

context for the claim.” (Rand

Resources, LLC v. City of Carson (2019) 6 Cal.5th 610, 621.) “Rather, the protected activity must ‘supply

elements of the challenged claim.’ [Citation.]”

(Id., citations omitted.)

“At

the first step, the moving defendant bears the burden of identifying all

allegations of protected activity, and the claims for relief supported by them.

When relief is sought based on allegations of both protected and unprotected

activity, the unprotected activity is disregarded at this stage.” (Baral v. Schnitt (2016) 1 Cal.5th

376, 396, emphasis added.)

IV. DISCUSSION

Light requests the Court strike the complaint

as the cause of action asserted against Light arises from Light's protected exercise

of free speech or petition rights. Pursuant to section 425.16, subdivision (b),

a cause of action against a person arising from the person's right of petition

or free speech shall be subject to a special motion to strike unless the court

determines the plaintiff has established there is a probability the plaintiff will prevail on the claim.

A. Anti-SLAPP Analysis

1. Protected Activity

Light asserts Light's

activity is protected, satisfying the first prong of an anti-SLAPP motion, as it consists of Light's medical report and invoices being communicated by legal counsel to State Farm as part of personal injury lawsuits brought by Light's patients against State Farm's insured clients, or as part of settlement demands made in anticipation of litigation. (Mot., Light Decl. ¶¶ 3-7.) The Anti-SLAPP statute defines relevant protected activity as follows:

“(1)

any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional

right of free speech in connection with a public issue or an issue of public interest.” (§ 425.16, subd. (e).)

Courts have “have adopted a

fairly expansive view of what constitutes litigation-related activities within

the scope of section 425.16.” (Kashian v. Harriman (2002) 98 Cal.App.4th

892, 908.) “Correspondence made in anticipation of litigation “contemplated in

good faith and under serious consideration can be a petitioning activity

protected by the anti-SLAPP statute.” (Lunada Biomedical v. Nunez (2014)

230 Cal.App.4th 459, 472.) The burden is on the moving party to make this

initial showing. (Navellier v. Sletten (2002) 29 Cal.4th 82, 88.)

People ex. rel. Allstate

Ins. Co. v. Rubin (2021)

66 Cal.App.5th 493 is instructive here. In Rubin, an insurance company

brought suit against a physician and related medical providers, alleging the

physician prepare fraudulent patient medical reports and billing statement in

support of insurance claims. (Ibid.) The physician brought an anti-SLAPP

motion on the basis the lawsuit arose from the protected activity of preparing

and submitted medical records in anticipation of litigation. (Id. at

496.) The trial court denied the motion, which the appellate court affirmed, as

prelitigation communication may only constitute protected activity if it is

related to litigation contemplated in good faith and under serious consideration. (Id. at 496, 499.) If litigation is only a possibility, it is not under serious consideration. (Id. at 499.) “Thus, for example, when a cause of action arises from conduct that is a ‘necessary prerequisite’ to litigation, but will lead to litigation only if negotiations fail or contractual commitments are not honored, future litigation is merely theoretical rather than anticipated and the conduct is therefore not protected prelitigation activity.” (Ibid., citing *Bel Air Internet, LLC v. Morales* (2018) 20 Cal.App.5th 924, 941.)

“The submission of claims to an insurer for payment in the regular course of business prior to the commencement of litigation is not an act ‘in furtherance of [the] right[] of petition’ within the meaning of the anti-SLAPP statute.” (Id. at 499.) Protecting reports and claims under section 425.16 because they eventually could be used in connection with an official proceeding would effectively provide immunity for any type of criminal fraud, so long as the defrauding party is willing to go to court. (Ibid., citing *People ex rel. 20th Century Ins. Co. v. Building Permit Consultants, Inc.* (2000) 86 Cal.App.4th 280, 285.) Furthermore, the filing of allegedly false insurance claims is also not protected under the anti-SLAPP statute. (Id. at 499, citing to *People ex rel. Fire Ins.*

Exchange v. Anapol (2012) 211 Cal.App.4th 809.)

The court specifically held

that, because the documents were prepared to be utilized, and render payment to

the physician, for any settlement, judgment, or verdict, there remains a

possibility of resolving claims outside of court. (Id. at 500-501.)

Therefore, the documents were not made in good faith and in serious

consideration of litigation. (Id. at 502.) The activity was not

protected under section 425.16.

Here, Light has

specifically stated Light's medical reports and invoices were communicated by

legal counsel "as part of settlement demands in anticipation of litigation that

is contemplated in good faith." (Light Decl. ¶ 3.) However, Light's declaration does

not indicate his medical reports and invoices are any

different or otherwise specially prepared if they were going to

be used to bring personal injury claims against State Farm's insured. Counsel

for Light candidly agreed Light treated all

of his patients the same way. Light's reports and

invoices were prepared by the same process, regardless of

whether the patient was allegedly referred by the Referring

Defendants or not. Just as in Rubin, the preparation

of medical reports and bills in support of insurance claims are Light's routine

and usual course of business. (See Anapol, supra, 211

Cal.App.4th at p. 827 [“ [t]he submission of contractual claims for

payment in the regular course of business’ is not an act in

furtherance of the right of petition”].) In addition, Light's medical

reports may or may not end up

being used in litigation. Unless negotiations with

State Farm failed or State Farm denied a demand for

payment, litigation is simply a possibility. (Rubin, supra, at p. 502

[“That is, unless negotiations with Allstate failed, or Allstate denied a

demand for payment, litigation was simply a possibility, and

that ‘possibility’ of litigation does not rise to protected

prelitigation activity under the anti-SLAPP statute.”]; see Mission

Beverage Co. v. Pabst Brewing Co., LLC, supra, 15 Cal.App.5th at pp. 702,

703 [litigation is not “ ‘under [serious] consideration’ ” if it is

only a “ ‘possibility’ ”].)

Light has not satisfied the

initial burden of demonstrating Light's activity is protected under section

425.16. Therefore, the Court denies the instant motion.

2. Public

Interest Exception

In State Farm's opposition,

State Farm argues the anti-SLAPP statute does apply to the subject action, as

this action was brought "solely in the public interest or on behalf of the

general public," as this is a qui tam Insurance Fraud Prevention Act

("IFPA") suit brought on behalf of the State of California. (§ 425.17, subd.

(b).) The public interest exception applies to actions brought on behalf of the

general public so long as (1) the plaintiff does not seek relief greater than

or different from the relief sought for the general public or a class of which

the plaintiff is a member; (2) the action, if successful, would enforce an

important right affecting the public interest, and would confer a significant

benefit to the general public or large class of persons; and (3) private

enforcement is necessary and places a disproportionate financial burden on the

plaintiff in relation to the plaintiff's stake in the matter. (Ibid.)

State Farm argues qui

tam IFPA actions satisfy these requirements. "Qui tam action[s] brought by

[a] relator 'on behalf of the general public' under Insurance Code Section

1871.7 falls within the public interest exception of section 425.17(b)." (People

ex rel. Strathmann v. Acacia Research Corp. (2012) 210

Cal. App. 4th 487, 492.) State Farm

asserts this claim is limited to only relief available under Insurance Code section 1871.7, (i.e. "the bounty available under Insurance Code section 1871.7, subdivision (g)(2)(A).") complying with the relief requirements. (See Strathmann, supra, 210 Cal.4th at pg. 503.) This action, if successful, would enforce an important right in protecting the public from higher premiums stemming from fraudulent insurance claims. (Id. at 504.) Finally, private enforcement of this action is necessary because there is no evidence of a public official intending to prosecute the action, as no such official has intervened to prosecute. (Ibid.) The fact no public entity has sought to enforce these rights is sufficient to establish private enforcement is necessary. (The Inland Oversight Comm. v. Cty. San Bernardino (2015) 239 Cal. App. 4th 671, 676.)

The Court acknowledges State Farm's argument but does not rule on the issue presented as the Court has otherwise already found grounds to deny the instant motion.

B. Fees

and Costs

State Farm requests the

Court award costs and reasonable attorney's fees, as the motion to strike is frivolous.

Under section 425.16, subdivision (c)(1), a prevailing plaintiff is entitled to

costs and reasonable attorney's fees if the court finds an anti-SLAPP motion is frivolous or solely intended to cause unnecessary delay.

"A motion is totally and

completely without merit for purposes of a finding of frivolousness under

section 425.16, subdivision (c)(1) or section 128.5 only if any reasonable

attorney would agree that the motion is totally devoid of merit. [Citation.]

This is an objective standard. Whether the sole purpose of the motion is to

harass an opposing party or the motion is solely intended to cause unnecessary

delay, in contrast, concerns the subjective motivation of the moving defendant.

[Citation.] The moving defendant's subjective motivation can be inferred from

the absence of any arguable merit. [Citation.]" (Chitsazzadeh v. Kramer

& Kaslow (2011) 199 Cal.App.4th 676, 683–84.)

State Farm argues the

motion was completely without merit, as Light inexplicably failed

to address Rubin when filing this

motion. Instead Light relied upon vague definitions

without direct applicability and omitted context and

distinctions. Rubin is on point. In

addition, Rubin addressed attorney's fees and concluded

Rubin's similar arguments were meritless but not frivolous. Here,

however, we have the benefit of Rubin. A reasonable

attorney would have been aware of Rubin and

other unambiguous case law holding allegedly fraudulent physician

documentation, prepared in anticipation of potential settlement, is not protected

activity under section 425.16. (Baharian-Mehr v. Smith (2010)

189 Cal. App. 4th 265, 275.) Therefore, the Court finds the motion

frivolous under section 425.16, subdivision (c)(1) and

so grants attorney's fees and costs.

State Farm requests fees in \$7,800.00, based upon 15 hours

of attorney's work at a rate of \$520.00 per hour. (Opp., Fawaz Decl. ¶ 2.) The Court relies on its knowledge and

experience in determining the reasonable value of the legal services provided

under the circumstances in this case. (In re Marriage of Huntington (1992)

10 Cal.App.4th 1513, 1524 ["When the trial court is informed of the extent and

nature of the legal services rendered, it may rely on its own experience and

knowledge in determining their reasonable value."].) The Court has discretion

to fix the amount of reasonable monetary sanctions. (Cornerstone Realty

Advisors, LLC v. Summit Healthcare Reit, Inc. (2020) 56

Cal.App.5th 771, 791.) The Court finds a reasonable award is \$2250.00, based

upon 5 hours of attorney's work at a reasonable rate of \$450.00 per

hour.

V. CONCLUSION

Light's special motion to

strike is therefore DENIED.

State Farm's request for

attorney's fees and costs is GRANTED. Light is ordered to pay State

Farm's attorney's fees in the amount of \$2250.00 within 30 days.

State Farm is ordered to give notice.

DATED:

June 24, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer

after reading this tentative ruling to see if they can reach an agreement.

- If a party intends to submit on this

tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by

the case number. The body of the email must include the hearing date and time,

counsel's contact information, and the identity of the party submitting.

- Unless all parties submit by email to this

tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated statutory references are to the Code of Civil Procedure.